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Opening a restaurant is notoriously hard. A California bill could make it faster

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A state bill hopes to ease what many California restaurant operators say is one of their most significant challenges: onerous and slow permitting.

Assembly Bill 671, authored by Assembly Members Buffy Wicks, D-Oakland, and Jesse Gabriel, D-Encino (Los Angeles County), would order local building departments to approve or deny restaurants' permit applications within 20 business days. Building officials would have to respond to any resubmitted changes within 10 business days. If they don't meet these deadlines, the plan would be automatically approved.

The bill also creates a fast track for converting an existing restaurant to a new one: allowing qualified professionals such as licensed architects or engineers, paid for by the restaurant owners, to certify that their plans meet all applicable building, health and safety codes. These third-party professionals would have to meet certain requirements, and be held liable for "any damages arising from negligent plan review," the bill states.

AB671, which passed the state Assembly in May, will be heard at the Senate Appropriations Committee on Aug. 18.

Although building permits are just one of many approvals restaurants need, restaurateurs said the legislation feels like a step in the right direction. Many owners have decried the effects of red tape on the industry, from navigating costly delays and byzantine requirements like the placement of a sink or the color of a floor. In San Francisco, which is currently adopting new permit reforms, one bakery has now sat empty for two years while going through the approval process.

"I truly believe a lot of restaurants that fail in the first year, one reason is these delays can put a lot of financial strain on them," Allen Kou, owner of Prelude Kitchen + Bar and Zinfandel Grill in Sacramento, told a California State Senate committee on July 9, urging them to support the bill.

It took almost a year and $100,000 to get the permits required to open Prelude in 2021, a modern American restaurant across the street from the state Capitol building — even though Kou had picked an existing restaurant space that needed mostly cosmetic improvements. But running electrical through a pony wall he added to the kitchen for cookline refrigeration caused unanticipated delays. He'd hoped to open in two months, and instead waited eight. Kou estimates the delay cost him about $1 million, basing that figure on the restaurant's first six months of revenue.

"It's really just the uncertainty with the timing," Kou said. "You don't have an idea of, 'OK, here's a realistic target of when we can get going and open.'" He's now three months into the process of opening a restaurant in Elk Grove.

Assembly Member Wicks said AB671 was inspired by an emotional Instagram post last year announcing the closure of the Kon-Tiki Bar in Oakland. She started looking into concrete ways to address permitting delays. Similar legislation exists in New York, Chicago and Washington, D.C.

"Government shouldn't be a hindrance for our businesses and our consumers. We should go through the appropriate channels of making sure our restaurants are safe," said Wicks, "but we should do it more quickly."

But San Francisco's Department of Building Inspection said it already approves most permits well ahead of the 20-day timeframe. In 2025, 97% of permits filed for restaurants were issued over-the-counter, said communications director Patrick Hannan. The majority of permits were issued in six days, including the time the applicant spent revising their plans.

Self-certification, Hannan wrote in an email to the Chronicle, could mean potential compliance issues are not discovered until later in the process, creating a "substantial risk for the business owner."

"The restaurateur is gambling that their architect, engineer or private plan reviewer won't miss anything," he wrote. "If they do, it may end up costing the business owner significantly more than what they might have saved and create last-minute delays preventing them from opening their doors to paying customers."

Joseph Magidow, a longtime chef opening a new restaurant, La Cigale, in San Francisco, said he would like to see the expedited deadlines applied not just to building departments, but others such as planning and health. In past projects and restaurants he consults on, he's seen extra costs and delays due to confusing health requirements, or in his case, a survey monument, a tiny, metal tag on the sidewalk in front of La Cigale.

"I want them to clarify all gray areas in the code, remove any and all possible discretionary judgment calls," Magidow said.

In San Francisco, Proposition H, passed by voters in 2020, already directs city departments to work together to approve permits for small businesses in 30 business days. But it hasn't always resulted in improvements, and a 2023 San Francisco Civil Grand Jury report identified problems with implementation.

Wicks and San Francisco Assembly Member Matt Haney, a bill co-author, acknowledged there were limitations. They said they felt they could expedite the approval process for building departments without jeopardizing public health. If approved, building departments would randomly audit 20% of all applications to ensure compliance.

"The reality is California is widely seen as the hardest state in the country to open a restaurant," Haney said. "Things we can control, like stupid rules that can add tens or hundreds of thousands of dollars and many months or even years to a restaurant's timeline or bottom line, we should absolutely change those."

Three statewide organizations — California Building Officials, Health Officers Association of California and the California Association of Environmental Health Administrators — oppose the legislation.

Matthew Wheeler, California Building Officials executive director, wrote in an email to the Chronicle that his group takes issue with "the spirit" of the expedited certification proposal.

"Why should restaurants be any different than other projects of similar scope? Public safety and welfare — are public safety and welfare," he wrote.

Amanda Bloom, executive director of the California Association of Environmental Health Administrators, said the proposed requirement to respond to revised applications within 10 days will add unnecessary burden and cost. While the legislation focuses on building departments, she said environmental health would be pulled into the 10-day mandate by some of the legislation's specific terminology, and asks that it be exempted.

California food, travel and business organizations, as well as prominent Los Angeles restaurants, support the bill. In a statement, California Restaurant Association senior vice president of government affairs and public policy Matt Sutton praised the proposed changes. But, he added, "lawmakers have more work to do to make staying in business affordable. Neighborhood restaurants are at a breaking point, and too many have already been forced to close their doors."

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